

with reduced cognitive skills or for surviving spouses who may be less experienced with regard to financial matters.

The primary benefit of the safety-first, insurance-based approach is longevity protection, as it provides a guaranteed income for as long as you live. It hedges longevity risk and calibrates the planning horizon to something much closer to life expectancy. Those who fall short of life expectancy subsidize the income payments for those who outlive it (known as “mortality credits”). Both groups enjoy higher spending because they have pooled the longevity risk and do not have to plan based on an overly conservative time horizon. This higher income also provides flexibility to spend less than possible and maintain more reserves to manage inflation risk.

A death benefit can be created with life insurance to provide a specific legacy amount. Additionally, an income annuity dedicates assets specifically toward the provision of income, allowing other assets to be earmarked specifically for growth. This can allow for a larger legacy, especially when the retiree enjoys a long life and more of his or her income is supported by the annuity’s mortality credits.

But many retirees may be significantly underfunded and may not be able to reach their goals even after pooling risks. Though income annuities can guarantee a lifestyle, they lack the ability to provide upside potential on their own, and inflation-protected versions are costly. In such cases, individuals may need to rely on the growth potential of their investments to achieve retirement goals and protect against inflation. Though risky, some retirees may tolerate those disadvantages and conclude that the loss of upside potential is not worth the sacrifice.

Liquidity could also be a problem with insurance solutions when unexpected expenses arise. While some annuity products offer liquidity, there is generally a high cost for this flexibility. Efforts to gain liquidity can undermine the true advantages of annuitization. Partial annuitization helps free up other assets on the balance sheet from having to support spending needs, and this combination can work to provide a greater amount of true liquidity. As for a legacy, though the death benefit in an insurance contract